

Study and Methodology of Economics

- Economics – every day life's phenomenon.
- It is about how society deals with the problem of scarcity.
- We cannot have everything we want, whether this refers to continuous holidays or perfectly clean air.
 - We have to make choices.

- Economics is the study of how society makes these choices. Economics is not just about incomes, prices and money.
- Sometimes it makes sense to use markets, sometimes we need other solutions.
- Economic analysis helps us decide when to leave things to the market and when to override the market

Objectives or purpose

- Understand that economics is study of how society resolves the problem of *scarcity*
- Know the description of ways in which society decides *what, how and for whom to produce*
- Introduce and understand the concept of *opportunity cost*

Objectives or purpose

- Differentiate between *positive* and *normative* economics
- Define *microeconomics* and *macroeconomics*
- *Economics is the study of how societies make choices under conditions of scarcity*

- **Scarcity** – refers to the concept that society (we) have limited resources to produce all the goods and services that we would like to have.
- Goods are physical commodities, such as steel or maize meal (mealie meal)
- Services are activities such as massages or live concerts, consumed or enjoyed only at the instant they are produced.

- We (society) need or demand goods and services, and so we create a problem
- The key economic problem for a society is how to reconcile the conflict between people's virtually limitless desires for goods and services, and
- the scarcity of resources (labour, machinery, raw materials, and so on) with which these goods and services can be produced.
- By emphasizing the role of society, our definition places economics within the social sciences that study and explain human behaviour

- Since scarcity exists, we cannot get everything we want.
- Choosing to spend more resources to build a new military ship means having fewer resources to build new schools or hospitals instead.
- Therefore a society faces trade-offs every time it makes choices.

- The three basic *trade-offs* that every society faces are: *what* goods and services to produce, *how* to produce them and for *whom* to produce them.
- In answering *what, how and for whom* to produce, economics explains how scarce resources are allocated among competing claims on their use.
- *A resource is scarce if the demand of that resource at a zero price would exceed the available supply.*
- *Economics is the study of how society makes choices under conditions of scarcity.*

How economists think about choices

- How do societies choose to allocate scarce resources among different alternatives?
- To answer that question we need to understand how each member of a society, such as individuals and firms, makes economic choices
- A fundamental assumption in economic analysis is that individuals behave rationally when making choices.

- A rational individual is someone who takes full account of all information available to make the best choice for his own interest.
- In taking decisions a rational individual uses all his available information to compare the benefits and the costs associated with those decisions.
- Rationality in making choices implies that a given activity should be undertaken only if its benefits are larger than its costs.

- Rational choice provides an answer to the questions
 - *what to produce,*
 - *how to produce and*
 - *for whom to produce.*
- We should produce something for which the benefits of producing it are larger than the costs of producing it

- We should produce goods in the least costly way and for the individuals who value those goods most
- The benefits of a given activity are what we gain from doing it
- In many cases those benefits can be measured in monetary terms. This is the amount of money we get from a given activity

- The benefit you receive from a university degree is the boost in your earnings once you graduate
- However, in many other cases providing a monetary measure for benefits is less straightforward
- For example, suppose we need to choose whether or not to watch the last Spiderman film. What is the monetary benefit of watching that film?

- Even when benefits cannot be readily available in monetary terms we can still try to provide a monetary value for them.
- Economists define the benefits of a given action as the willingness to pay (WTP) for that action.
- The willingness to pay for something is the maximum amount of money we are willing to pay for it.

- This is a hypothetical monetary value; we normally do not pay that money.
- In the case of the last Spiderman film, you can ask yourself the hypothetical question, -
 - ‘What is the maximum amount of money I am willing to pay to watch that film?’

- If you say, for example, £25, then this value should represent your benefit of watching that film.
- Note- different individuals can have different willingness to pay (WTP) for the same thing.
- A fanatic of Spiderman films will be willing to pay a higher amount of money to watch those films than someone who prefers to watch romantic comedies

- What about the costs of a given activity?
- The cost of an activity normally includes:
 - the explicit cost, which is the amount of money we need to pay for doing it, and the
 - opportunity cost, which is the value of the best alternative we must sacrifice for doing that activity.

- Therefore the cost of any activity generally has two components
- A rational individual must consider both explicit and opportunity costs in making decisions
- The opportunity cost of an activity is the value of the best alternative you must sacrifice

- As for benefits, different individuals may have different opportunity costs for the same activity simply because they value different best alternatives.
- The concept of opportunity cost is one of the most important concepts in economic analysis
- It provides the direct link between scarcity and choices.

- Faced with scarcity, we must choose among alternative activities. If we decide to do activity A, then we are spending resources on that activity
- We could have spent those resources on doing activity B. Therefore by choosing one activity we sacrifice the other.
- In making choices we need to take into account the opportunity that we are sacrificing

OPPORTUNITY COSTS AND CHOICES: AN EXAMPLE -Two competing activities facing individual

Attend cinema with friends	Cost	Do part time work to supplement scholarship (EAST Park Mall Shoprite)	
	Cost	Cost (Wage earnings)	
1. (actual costs - transport, candy, entry...)	K30		K70
2. (willing to pay up)	K60		
Difference between minimum to be earned and wage earned			$K70 - K30 = 40 =$ Value of working for supplemental wage in East Park Mall Shoprite
Minimum willing to get paid to work			$K30 =$ K30 cost of spending time with friends
Explicit cost of day at cinema	K30		
Total cost of day at cinema with friends incorporates explicit cost (K30) and K40, the implicit cost of next best alternative or foregone alternative			Benefit of cinema with friends = $K60 < K70$ max wage earned = rational individual will choose to work not spend day at cinema with friends

Choices and incentives

- Rational individuals compare benefits and costs (including opportunity costs) in making decisions.
- Additional important aspect of economic analysis is that in making choices rational individuals respond to incentives.
- Incentives are rewards or penalties that affect individuals— choices.

- Incentives can be monetary or not and can affect the benefits or the costs of our decisions.
- For example, smokers may have an incentive to smoke less if the government imposes high taxes on the price of cigarettes.
- In this case the high tax on cigarettes affects the cost of smoking and thus the choice of smoking.

Markets

- Markets bring together buyers and sellers of goods and services. In some cases, such as a local fruit stall, buyers and sellers meet physically.
- In other cases, such as the stock market, business can be transacted by computer.
- **General definition of markets.**
- In markets buyers and sellers trade goods and services. As a result of this trade process the prices of those goods and services and their quantities (produced and consumed) are determined.

- Market prices influence the decisions about what, how and for whom to produce.
- Prices of goods and of resources (which are also goods, such as labour, machinery, land, energy) adjust to ensure that scarce resources are used to make the goods and services that society wants

A market

- A market is a process by which households' decisions about consumption of alternative goods, firms' decisions about what and how to produce, and workers' decisions about how much and for whom to work are all reconciled by adjustment of prices
- In a command economy a government planning office decides what will be produced, how it will be produced and for whom it will be produced. Detailed instructions are then issued to households, firms and workers.

The 'invisible hand'

- Individuals in free markets pursue their own self-interest without government direction or interference. The idea that such a system could solve the what, how and for whom problems is one of the oldest themes in economics
- Markets in which governments do not intervene are called free markets.
- *The invisible hand is the assertion that the individual pursuit of self-interest within free markets may allocate resources efficiently from society's viewpoint.*

The mixed economy

- The free market allows individuals to pursue their self-interest without government restrictions
- The command economy allows little scope for individual economic freedom. Decisions are taken centrally by the government. Between these extremes lies the mixed economy.
- Most countries are mixed economies, though some are close to command economies and others are much nearer to free market economies

- In a mixed economy the government and private sector jointly solve economic problems.
- The government influences decisions through taxation, subsidies and provision of free services such as defence and the police. It also regulates the extent to which individuals may pursue their own self-interest.

Positive and normative

- In studying economics it is important to distinguish between ‘*positive*’ and ‘*normative*’ economics.
- Positive economics is the process of studying objectively or scientifically the explanations of how the economy works
- The aim of positive economics is to analyse how society makes decisions about *consumption, production and exchange* of goods

- It aims both to explain why the economy works as it does, and to allow predictions about how the economy will respond to changes
- In positive economics, we aim to act as detached scientists.
- Whatever our political sympathy or our ethical code, we examine how the world actually works. At this stage, there is no scope for personal value judgements

- We are concerned with propositions of the form: if this is changed, then that will happen?? $\Rightarrow$
- In this regard, positive economics is similar to the natural sciences such as physics, geology or astronomy.

- Economists of widely differing political persuasions would agree that, when the government imposes a tax on a good, the price of that good will rise
- The question of whether this price rise is desirable is entirely distinct – this becomes issue or values or norms = *normative economics*
- *Normative economics offers recommendations based on personal value judgements.*

- Competent and comprehensive research in principle resolves many outstanding issues in positive economics; no such claim can be made about resolution of issues in normative economics.
- Normative economics = subjective value judgements, not on the search for any objective truth
- *e.g. the following statement combines positive and normative economics: 'The elderly have very high medical expenses, and the government should subsidize their health bills.'*

Micro (economics) and macro (economics)

- Many economists specialize in a particular branch of the subject
 - Labour economics deals with jobs and wages
 - Urban economics deals with land use, transport, congestion and housing
- However, we need not classify branches of economics by subject area.
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Micro and macro.....

- We can also classify branches of economics according to the approach used.
- In this regard make a distinction between microeconomics and macroeconomics.
- We study why individuals prefer cars to bicycles and how producers decide whether to produce cars or bicycles.
- We can then aggregate the behaviour of all households and all firms to discuss total car purchases and total car production

- We can examine the market for cars.
- Comparing this with the market for bicycles - we can explain the relative price of cars and bicycles and the relative output of these two goods.
- The branch of microeconomics known as *general equilibrium theory* extends this approach to its logical conclusion.

- It studies simultaneously every market for every commodity.
- From this it is hoped to understand the complete pattern of consumption, production and exchange in the whole economy at a point in time.

- ***Microeconomics*** offers a detailed treatment of how individuals and firms make economic decisions.
- **Macroeconomics** emphasizes interactions in the economy as a whole. It deliberately simplifies the individual building blocks of the analysis in order to retain a manageable analysis of the complete interaction of the economy.

- Microeconomists tend to study one aspect of economic behaviour
- ignores interactions with the rest of the economy in order to preserve the simplicity of the analysis.
- A microeconomic analysis of footballers' wages would emphasize the characteristics of footballers and the ability of football clubs to pay.

- It would largely neglect the chain of indirect effects to which an increase in footballers' wages might give rise
 - (such as higher prices for luxury houses, leading to a boom in swimming pool manufacture).
- When microeconomic analysis ignores indirectly induced effects, it is 'partial' rather than 'general' analysis.

- Macroeconomists rarely worry about the division of consumer goods into cars, bicycles and DVDs.
- Rather, they are treated as a single bundle called '*consumer goods*' as we want to study the interaction between *household* purchases of consumer goods and *firms*' decisions about purchases of machinery and buildings.
- Macroeconomic concepts refer to the whole economy=> appear more appealing - get more media coverage than microeconomic concepts, which are chiefly of interest to those in a specific group.....

For example.....

- *Gross domestic product (GDP)* is the value of total output produced in an economy in a given period
- The aggregate price level measures the average price of goods and services ---changes in aggregate price level = *inflation*
- *The unemployment rate* is the fraction of the labour force unemployed but actively looking for a job.